July 27, 2026

Overview
- ❖ The current situation
- ❖ It all comes back to plate selectivity

Dear Partner:

During H1 2026, fully-invested accounts in the Starvine Flagship Strategy decreased -2.8% to -3.7%, while fully-invested accounts in the Mid-Large Cap Strategy decreased -2.9% to -3.6%. During the period, the S&P TSX Total Return Index[1] increased 11.2% and the S&P 500 Total Return Index increased 14.1**%** in Canadian dollars (10.2% in USD). Given the strong representation of U.S. holdings in the Starvine strategies, the strengthening of the U.S. dollar in H1 contributed an estimated 2.6% and 2.5% to the Flagship and Mid-Large Cap strategies, respectively.

Annualized results to June 30, 2026	Flagship	Mid-Large Cap
Inception date	*Feb. 10, 2015*	*Mar. 16, 2017*
Trailing:		
One year	29.8%	27.2%
Two Years	37.5%	34.1%
Three Years	27.8%	26.8%
Four Years	27.4%	24.7%
Five Years	16.0%	14.8%
Six Years	23.1%	21.5%
Seven Years	18.2%	17.0%
Eight Years	15.0%	14.5%
Nine Years	14.8%	13.8%
Ten Years	15.9%	*n/a*
Eleven Years	12.9%	*n/a*
Since Inception	12.2%	13.7%

[1] The benchmarks cited by Starvine are standards against which the performance of the strategies can be measured. However, the Starvine strategies approach portfolio construction with a bottom-up approach and thus do not refer to the composition of any index as a reference from which to select securities. Performance of the strategies may differ significantly relative to benchmarks in any time period.

The composite figures above are unaudited and include discretionary fee-paying accounts within each respective mandate. Composite results are presented as time weighted rates of return, net of management fees and other expenses. Results will vary with subscription date, most notably for recently formed accounts whose position weightings and cash levels tend to differ initially from the investment strategies. Clients will therefore each have their own net-of-all fees performance results from investing in Starvine. References made to indices may provide clients with a benchmark to compare results. However, the Starvine strategies are operated with a bottom-up selection framework and thus no effort is committed to tracking any index. Lastly, the composite results displayed above should not be interpreted as a reference for future returns.

Calendar year results:	Flagship	Mid-Large Cap
Inception date	*Feb. 10, 2015*	*Mar. 16, 2017*
2026 - YTD	-3.2%	-3.5%
2025	41.6%	37.0%
2024	52.7%	50.4%
2023	13.5%	15.2%
2022	-18.8%	-21.0%
2021	49.0%	45.3%
2020	5.1%	6.2%
2019	19.9%	21.4%
2018	-6.7%	-6.6%
2017	14.5%	3.9%
2016	4.2%	*n/a*
2015	-8.4%	*n/a*

Commentary

The first half of 2026 saw the Starvine strategies pull back from a strong close in 2025 — a retreat that stands in sharp contrast to the major indexes, which charged ahead into double-digit territory over the same period.

What follows is a broad-brush attempt to explain the gap between the S&P 500 and the Starvine strategies in H1 2026. Consistent with past messaging, I make no attempt to design portfolios that track any index. I take note when trailing the market, but I also take it as a given that this will happen from time to time, as it has in Starvine's past, and I remain cemented to a bottom-up approach. The mission is long-term absolute compounding of wealth, not short-term relative performance.

It is general knowledge that the AI theme has powered index returns in 2026, and that theme has since broadened into traditional industrial sectors. Companies providing the "picks and shovels" for the AI build-out (e.g., power generation, data center construction, heavy machinery) have seen earnings growth tied directly to the AI industrial surge. But the primary engine behind the S&P's gains in H1 was the semiconductor complex. More than a third of the index's H1 gains came from a handful of top performers, including Micron, AMD, and Intel. A global supply bottleneck in memory chips — essential inputs for AI data centers — drove the move: as these companies sold out their production capacity, pricing power surged and earnings estimates were revised sharply higher.

The Canadian index, meanwhile, continued to power ahead for entirely different reasons. Energy stocks excelled as the war in Iran pushed oil and gas prices higher. Canadian banks have kept climbing and now trade at high price-to-earnings multiples (and low dividend yields) not seen since 2006, benefiting from their status as a defensive "safe haven" trade. And the wave of mortgage resets from pandemic-era low rates has not produced the losses many onlookers anticipated, as lenders have proactively worked with borrowers to mitigate the impact.

The Starvine strategies have little direct exposure to any of these themes. Compounding the divergence, our largest positions are actually down on a year-to-date basis, for reasons that are largely company-specific and short-term in nature — exposure to contrarian narratives like SaaS (where I was arguably too early), alternative asset managers (which I believe are being punished disproportionately relative to their actual private credit exposure), and U.S. housing and construction (currently in a cyclical downswing). That said, in the absence of stock prices to fixate on, I remain very comfortable with the underlying selections — management execution and organic growth continue to track as expected.

Plate Discipline and Selectivity

I recently released a podcast episode on Ted Williams and the investment lessons that come out of his book, *The Science of Hitting*. It's a framework worth revisiting.

"Getting a good ball to hit" doesn't just mean a low price relative to historical earnings or book value. What we're really after is asymmetry, which I would define as an imbalance between upside and downside, weighted in an investor's favor. That's why we wait for situations where the odds are clearly stacked in our favor before pulling the trigger, rather than swinging at anything reasonable.

Buffett's use of the Ted Williams analogy is such a useful one. Williams broke the strike zone down into cells, each with its own batting average, and only swung at pitches in his best cells. An investor needs an equivalent strike zone. When a stock lands squarely in the sweet spot, it usually means it's checked every box on the investment checklist. But that's not always the case. Sometimes the valuation might not be as low as I'd like,

but that gets more than offset by growth tailwinds, a strong management track record, or a clear runway for reinvesting earnings over a long period.

One metric I weigh heavily is return on capital employed. Pulak Prasad takes a strict approach here. His standard requires investment candidates to clear a well-above-average return on capital, and he screens candidates accordingly, almost without exception. I'm a bit more flexible; I'll accept a metric that doesn't look great on the surface, as long as I understand why. A high return on capital is a symptom, not the cause. The real cause is the moat sitting underneath it.

What makes the Ted Williams framework so useful is that it's directly transferable to investing. It is fundamentally about training ourselves to be more selective, and being disciplined about when to buy. That said, investing has more moving parts than hitting. Portfolio management considerations sometimes justify buying a stock that isn't the highest-return idea in isolation, but that adds real value as a diversifier within the strategy. Or a buy decision may be justified by factors that aren't strictly quantifiable. It can make sense to pay a higher valuation for Company A over Company B if management's capital allocation track record is clearly superior, or if the industry carries far better long-term growth tailwinds.

Selectivity isn't about being right on every swing. It is about only swinging when convinced on your own terms that the odds are genuinely on your side, and fully accepting that you will miss out on market movements that don't resonate with your selection criteria. It is that staunch selectivity, paired with patient acceptance, that I believe is necessary for long-term success.

Closing Thought

I've always struggled to explain what I do to people who aren't well-versed in investing. Lately I've landed on a description that seems to land: I invest in stocks that are the opposite of SpaceX. Think about what comes to mind with SpaceX — exciting, heavily sought after by retail investors, not yet profitable, and priced at a very high valuation. Value investing is the mirror image of that: unglamorous, free-cash-flow positive, mostly contrarian, and priced in a way that's always explainable or compelling on the numbers.

At the core, it's about playing the odds and approaching decisions with clarity and calm. Or put differently: to compound capital at a decent rate over the long run, we want to avoid investments with a high probability of blowing up, while positioning in companies that offer real asymmetry. Get that balance right, and the results tend to take care of themselves.

Sincerely,

Steven Ko
Portfolio Manager

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